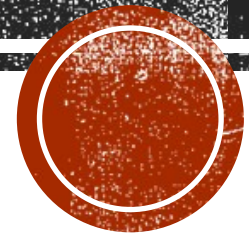


PASSING OFF



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TRADE MARK BASICS

- **Protect goodwill** of a trader from misrepresentation and **prevent consumer confusion**
- May be comprised of:
 - Letter, word, name, signature, numeral, brand, label, packaging, shape, colour, sound or scent that are used to distinguish one product from another.
- Cannot be:
 - Offensive, misleading (“Organic”), too descriptive, too common
- Used to establish market presence
- Trade Marks Act 1994 (you don’t need to know this for tort!)



TM REGISTRATION

- Register ownership of the mark for commercial use, renewable every 10 years.
- Benefits:
 - Use of the ® to indicate the brand is protected (deterrent function)
 - Prevent competitors from registering
 - Right to bring suit for infringement
 - Licensing/franchising
 - *Prima facie* evidence of validity in the event of a dispute
 - Obtaining registration in new territories



PASSING OFF

- Where trademark disputed/fails or was not registered...Passing off might succeed!
- Similarly.... protect goodwill and prevent consumer confusion
- No intent to deceive required (*Interflora Inc v Marks and Spencer plc* **[2012]**); ***we are looking for confusion***
- an actual false representation that will foreseeably result in consumers being misled
 - *And damage*** (this is why it's helpful register!)



HISTORICAL BASIS FOR PASSING OFF

- Formulated to protect traders against misrepresentations to customers
- Meant to protect against damage to goodwill generated by a brand (not protect consumers)
 - Later expanded to *likelihood* of injury to property or goodwill by the misrepresentation, *AJ Spalding & Bros v A W Gamage* [1915]
 - Images:
<https://www.civil.law.cam.ac.uk/virtual-museum/g-spalding-and-brothers-v-w-gamage-ltd-and-benett-fink-and-co-1915-32-rpc-273-1915-lj>
- Misrepresentation/goodwill/damage (the 'classical formulation')



MODERN ELEMENTS

- 1) misrepresentation;
 - 2) made by a trader in course of trade;
 - 3) to prospective customers or to ultimate consumers;
 - 4) calculated to injure the business or goodwill of another trader (not necessarily deceitful); and
 - 5) which causes actual damage to business or goodwill (OR will probably do so).
-
- Much broader than the historical formulation.
 - Lord Diplock, *Erven Warnink B.V. v J. Townend & Sons (Hull) Ltd* **[1979] AC 731** (Advocaat case)



APPLYING PASSING OFF

- Including, not limited to...
 - Imitating the appearance of the claimant's goods
 - False advertising
 - Character merchandising
 - Using the claimant's name or trade mark



GOODWILL

- ‘...the attractive force that brings in customers’ (*AJ Spalding*)
- Local to each market
- Damage (or likely damage) must be more than trivial



DAMAGE

- Proof of actual damage not necessary (though preferred); so no need to show any member of the public was *actually* deceived
- The damage is the **calculated, false misrepresentation performed**, likely to cause confusion to the consumer public (foreseeability).



DEMONSTRATING CONSUMER CONFUSION/DAMAGE TO GOODWILL

- If we need to prove likelihood of damage to goodwill...
- No individual actual damage must be proved.
- But the likelihood may be proved/rebutted by:
 - Blogs indicating confusion or clarity;
 - Price difference;
 - Logo distinctions;
 - Representative cross section (focus groups);



MOROCCANOIL ISRAEL LTD V ALDI STORES LTD [2014] EWHC 1686



MOROCCANOIL ISRAEL LTD V ALDI STORES LTD [2014] EWHC 1686

- Goodwill?
- Misrepresentation?
- Damage? (likelihood or actual confusion resulting in goodwill damage)
- "In this case that means whether the public would assume, because of the get-up and name of Miracle Oil, that it either (a) is Moroccan oil or (b) is made by the same manufacturer (or is licensed). This is to be distinguished from the public merely wondering whether the products are the same, or are made by the same manufacturer or are licensed...sufficient individuals have made or will make the false assumption such as to cause material damage to the goodwill of the claimant."
- Unsuccessful passing off



J BOLLINGER V COSTA BRAVA WINE [1961] 1 WLR

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- 'Champagne' as a description was a part of the developed goodwill AND of property.
- Traders producing champagne in the region had a right to be protected from the use of the name that might damage their goodwill and reputation.
- 'Spanish Champagne' did cause actual confusion; consumers believed it originated from vineyards in the Champagne region in France. C successful in passing off claim.
- NOTE: In recent years you will find 'Californian Champagne', a subject of much contention and legal wrangling.





Img: 'What I did on my winter holiday' - M. Blakely (2025)

ERVEN WARNINK BV V J TOWNEND & SONS (HULL) LTD [1979] (ADVOCAAT CASE)

- Dutch company selling alcoholic egg-based drinks in the English market
- English company began selling a version of the Dutch Advocaat as 'Old English Advocaat'
- Found 1) misrepresentation; 2) made by a trader in course of trade; 3) to prospective customers or to ultimate consumers; 4) calculated to injure the business or goodwill of another trader (not necessarily deceitful); and 5) which causes actual damage to business or goodwill (OR will probably do so).
- "Advocaat test" of acquiring a reputation as a "drink with recognisable qualities of appearance, taste, strength and satisfaction".
- "extended passing off" - not just the brand, but the class - implications for fair competition?



DIAGEO V INTERCONTINENTAL BRANDS [2010] EWHC 17 (VODKAT CASE) [PSA – NOT VODKA]



DIAGEO V INTERCONTINENTAL BRANDS [2010] EWHC 17

(VODKAT CASE)

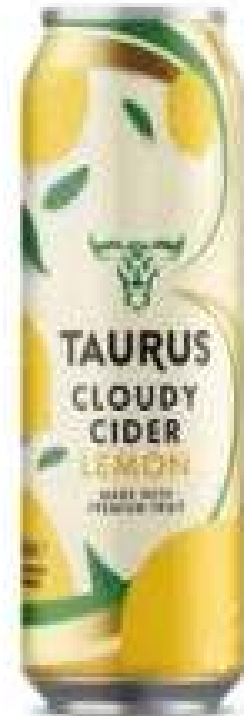
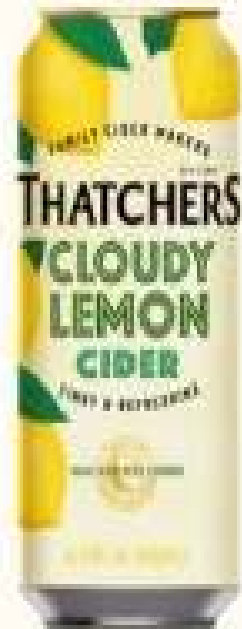
- vodka must contain at least 37.5 proof under EU regulations (Vodkat is 22%)
- "Advocaat test" of acquiring a reputation as a "drink with recognisable qualities of appearance, taste, strength and satisfaction".
- Reached trial in December 2009, after being sold for 4 years, 13 million bottles.
 - Delay: if the packaging were confusing, would it have been seen during that time?
 - Keep in mind other vodka 'drinks'
- "likely to erode the distinctiveness of the term vodka"; vodka is a clearly defined class and quality of goods; passing off successful.



NEW DECISION: THATCHERS V ALDI [2024] EWHC 88 (IPEC)

- Brought in the Intellectual Property Enterprise Court (IPEC)
- Thatchers Cloudy Lemon Cider product: 3489711, registered in respect of “*Cider; Alcoholic beverages, except beer*”
- Aldi’s Taurus Cloudy Lemon Cider product
 - Used product as ‘benchmark’ but denied TM infringement, claimed passing off elements not met
- Judgment for Aldi, all claims dismissed on:
 - Elements were dissimilar or not distinctive
 - No consumer confusion
 - No detriment (based on taste test!)





NEW DECISION: *THATCHERS V ALDI* [2025]

EWCA CIV 5

- On appeal: Only the s 10(3) TMA Infringement claim:
 - 'where the trade mark has a reputation in the United Kingdom and the use of the sign, being without due cause, takes unfair advantage of, or is detrimental to, the distinctive character or the repute of the trade mark.'
- Aldi submits Taurus is meant to be 'like Thatchers only cheaper' but denies this meets TM infringement taking unfair advantage of the TM or caused detriment.
 - Court only considers 2 of 9 TM factors:
 - (a) it must give rise to a link in the mind of the consumer and (b) give rise to injury, namely unfair advantage or detriment to the repute of the trade mark.
 - Note the primary importance of consumer social media comments as evidence of link between products AND Aldi's focus on enforcing this link to unfair advantage. Brands still must focus on their own merits.
- CoA finds infringement in favour of the appellant, Thatchers.
 - There is similarity, link and detriment.
 - Defences all refused: lack of distinction, not honest and fair competition, and CoA refused to depart from previous law on unfair advantage in this area. [interesting suggestions if you are interested in competition law]
 - IT'S CRUCIAL TO REGISTER.



WHY NOT APPEAL PASSING OFF?

- 10(3) is on unfair advantage and detriment; they did not pursue appeal on the similarity of marks and misleading consumers [10(2)] or passing off.
- an actual false representation that will foreseeably result in consumers being misled
 - And damage
- (images from judgment)



DEFENCES/REMEDIES

- No notable defences beyond general defences (although consent is a frequent defence raised).
- Remedies:
 - Injunction
 - Damages
 - For loss of reputation, expansion, dilution, loss of income by customer diversion
 - Equity
 - Some division of profits



CONCLUSION

- Protect goodwill of a trader from misrepresentation and prevent consumer confusion (like TM)
- Elements:
 - Goodwill enjoyed by a brand
 - Actual false misrepresentation
 - Foreseeably result
 - In misleading, resulting in consumer confusion
 - Note: deceitful intent not required!

